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Sleeping at the Wheel?
Regulation of Non-Banking Financial Companies

Since I left the Reserve Bank over two years ago, several people, especially from the financial sectors of Hong Kong, London and Singapore, have asked me why the Reserve Bank is institutionally biased against the non-banking financial sector. This question has always surprised me, not only because there is no such bias but, on the contrary, the Reserve Bank believes that non-banking financial companies add to the financial intermediation function by reaching out to borrower segments left out by banks. As governor, I myself have publicly acknowledged several times that NBFCs perform a valuable function in the financial space.

So, why the misperception? I can only conjecture that it probably arises from the Reserve Bank gradually tightening the regulation of NBFCs over the years for reasons of financial stability and consumer protection, which regulated entities may have perceived as a systemic bias. It is important to understand the context in which the Reserve Bank has moved in the direction of tighter regulation of NBFCs.

Evolution of Regulation of NBFCs

NBFCs differ from banks in a number of important ways. Banks have access to the Reserve Bank's repo window for overnight liquidity management, whereas NBFCs have to depend entirely on the regular financial markets and therefore suffer higher cost of funding. NBFCs are not also entitled to access the 'lender of last resort' facility of the Reserve Bank, and are therefore less able to protect themselves against liquidity